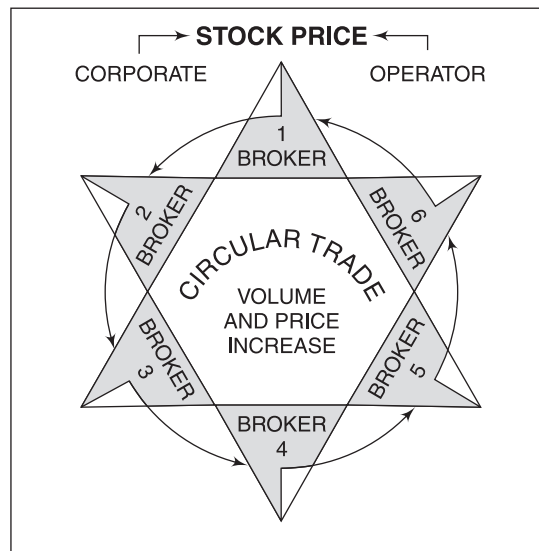




pressure to sell the operator absorbs it with the money given to him by the management. If the conditions are bullish the operator and his band of brokers also absorb the selling by taking their own positions. This creates an artificial scarcity and the reinforcing loop becomes stronger. See Figure 10.1 to understand the circular trading process.

FIGURE 10.1



➤ Creating the Reinforcing Loop

At this stage the manipulators cannot exit. They are making the bubble, so they need to support the price or else the reinforcing loop will break. The stock needs to get its momentum before it can stand on its own. So a fund manager of a mutual fund or an institutional investor is roped in to join the inner coterie. They have access to a huge pool of resources and their investment adds credibility to the stock. Investors are lured by the entrance of these investors. This helps the rigging and gives credibility to the stock.